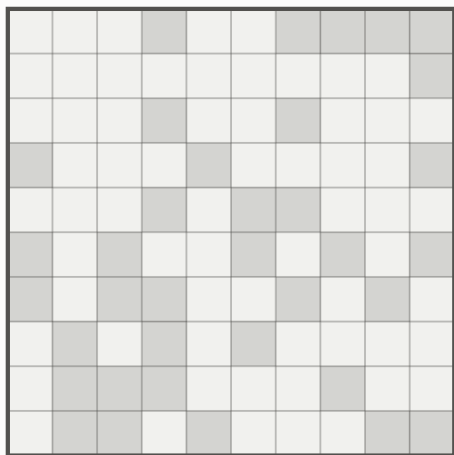


# How the factor model summarizes the trade data

**one period of trade**

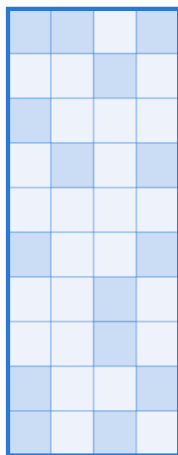
N exporters x N importers



N x N numbers

**who exports alike**

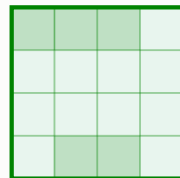
N countries, K export hubs



who belongs where

$\approx$

$\times$



**dollars between hubs**

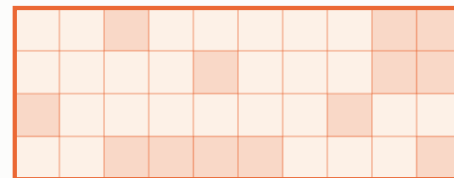
K x M: export hub to import hub

the compressed picture

$\times$

**who imports alike**

M import hubs over N countries



who belongs where